Note to readers

Capital markets update

AUTUMN 2026

Capital markets have rarely been this open for the largest borrowers. Investment-grade bond sales in the United States have set an annual record, IPO proceeds have passed every previous year and October brought a wave of large takeovers. Beneath the records, the price of money is rising and the market is sorting borrowers ever more sharply.

A record year for debt

By Bloomberg's count, US investment-grade issuance reached about $1.76tn by late October, overtaking the roughly $1.75tn raised during the 2020 pandemic boom. Global bond sales are put at a record of around $6.61tn. The driver is artificial intelligence: five hyperscalers had issued $218.1bn of investment-grade bonds by early October, more than in the whole of 2025, and Microsoft returned to the market for the first time since 2017 with a $25bn deal, 4.6 times covered.

Equity: a record built on giants

US IPO proceeds reached $147.6bn by mid-October, more than three times 2025. Two deals, SpaceX at about $75bn and SK hynix at about $26.5bn, account for roughly two-thirds of the total, while the number of listings is down. Anthropic filed its S-1 on 26 October to list on Nasdaq under the ticker ANT.

M&A: strategic buyers return

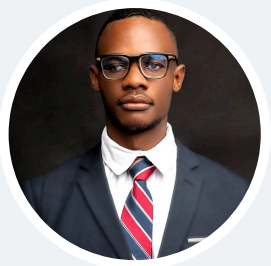
October's largest new announcements were strategic rather than financial:

- Schneider Electric's $22.6bn cash offer for PTC, a bet on industrial software;
- EQT and Range Resources, about $13bn, and Emera and Canadian Utilities, C$14.3bn in stock, in energy and utilities;
- GE Vernova's $9bn purchase of Trench Group, in grid equipment.

Paramount completed its roughly $110bn combination with Warner Bros. Discovery on 6 October.

The price of the risk

Abundance at the top hides tighter discipline elsewhere. The riskiest tranche of SpaceX's planned $40bn equipment financing, led by Apollo, may yield up to 8.75%, against 6.65% on its June bonds.



> Capital is abundant for the largest borrowers and scarce for almost everyone else. That gap is the defining feature of this market.

MOHAMED RAMADAN
FORMER CFO · ANALYST

US IG issuance 2026	**~$1.76tn**
Global bond sales	**~$6.61tn**
Hyperscaler IG bonds	**$218.1bn**
US IPO proceeds	**$147.6bn**
10-yr gilt, 28 Oct	**5.31%**

Latest available figures, October 2026. Sources on page 2.

Africa: the hierarchy blurs at the top only

Côte d'Ivoire borrowed $1.3bn over 15 years in February at an effective 5.39% after hedging into euros, close to what Britain pays for 10 years in its own currency. At the other end, DR Congo's debut 10-year bond cost 9.5% and Kenya refinanced at 10.4% a bond first issued at 6.9%. Senegal, with debt the IMF puts at 132% of GDP, is negotiating a $2.2bn programme and a eurobond restructuring.

Rates set the tone

The cycle is turning higher. The Federal Reserve raised rates in September, the Bank of England is expected to follow on 5 November and the ECB is preparing markets for December. With Brent above $110, borrowers that relied on cheap refinancing face higher costs at every maturity.

What it means for borrowers

For CFOs, the window is open but selective. Borrowers with predictable cash flows can still raise large amounts on good terms; those with long-dated debt financing short-lived assets will be asked harder questions. Preparing early and keeping options open matters more than timing the market.

Full analyses: “Borrowing for Intelligence”, “The Record IPO Year That Isn't Quite What It Seems” and “The Price of Time” on www.moharamadan.com.

Recent deals in the news

US **Paramount** M&A · CLOSED Warner Bros. Discovery · ~$110bn 6 Oct	FR · US **Schneider Electric** M&A · CASH PTC · $22.6bn 5 Oct	US **EQT** M&A Range Resources · ~$13bn Late Oct	CA **Emera** M&A · ALL-STOCK Canadian Utilities · C$14.3bn 6 Oct	US · DE **GE Vernova** M&A Trench Group · $9bn Late Oct	US **SpaceX** SPECTRUM Grain Management · ~$8bn 8 Oct
US **C.H. Robinson** M&A RXO · $5.8bn 5 Oct	JP · US **Shionogi** BIOTECH M&A IntraBio · $2bn Oct	US **Viatris** BIOTECH M&A Pacira BioSciences · $1.65bn Oct	US **SpaceX** IPO ~$75bn raised 2026	KR · US **SK hynix** IPO ~$26.5bn raised 2026	US **Anthropic** IPO FILING S-1 filed · Nasdaq: ANT 26 Oct
US **Microsoft** IG BOND $25bn · 4.6x covered Oct	US **SpaceX** DEBT FINANCING ~$40bn · led by Apollo Committed	US **Hyperscalers (5)** IG BONDS $218.1bn year to date Early Oct	CI **Côte d'Ivoire** EUROBOND $1.3bn · 15-yr · 5.39%* Feb	CD **DR Congo** DEBUT EUROBOND 10-yr · 9.5% 2026	KE **Kenya** REFINANCING Eurobond · 10.4% 2026

* Effective cost after hedging into euros. Deals listed are public transactions reported in the press; they are not deals advised by the author. Figures are approximate and drawn from secondary sources: Bloomberg via Yahoo Finance and 24/7 Wall St (bond issuance, 26–27 Oct 2026); TokenPost (hyperscaler issuance); Renaissance Capital (IPOs); Dealroom, Acquisitions News, Intellizence and Labiotech (M&A, October 2026); Fortune and SEC EDGAR (Anthropic S-1); World Bank and issuance data cited in “The Price of Time” (African sovereigns); IMF and Africanews (Senegal). Not investment advice.